

close the shortfall. Infrastructure limitations now are India's most serious constraint to growth," says Zagha.

But given the urgency of development and the imperatives of restoring growth, why does India allow funds to accumulate? The reasons are many but there is a general consensus among donors on some of them.

One, the inefficient handling of pre-construction activity like land acquisition, delays in site handover, utility shifting, rehabilitation and dispute settlement. Indeed, around Rs 9,000 crore is stuck in disputes. This is especially seen in the road

The other reason why foreign loans cannot be used up fully is unavailability of qualified contractors, engineers and consultants with the required domain expertise who can handle contracts under build, operate and transfer (BOT) models. As per estimates, India today has around 1,10,000 highway engineers whereas it needs 3,30,000 of them, in sharp contrast to China's road infrastruc-

Capacity constraints of states triggered by rising fiscal deficit have, of late, become a big issue in utilisation of grants and aid, agrees Michael Anderson, head, Department for International Development in India, the largest bilateral grant donor in India with a programme of \$500 billion. "The Centre has been asking the states to do a lot more in implementing development activities regardless

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A STRETCH OF THE LUCKNOW-MUZAFFARPUR HIGHWAY WHOSE CONSTRUCTION IS RUNNING FIVE YEARS BEHIND SCHEDULE

construction sector which, according to a recent World Bank study, is plagued by high underutilisation of funds, as well as perennial time and cost overruns on national and state highway projects. Says Rachid Benmessaoud, operations adviser, World Bank: "The average time for making the site fully encumbrance-free is 30 months against the usually allocated 18 months and in 75 per cent of the cases, the delays are attributed to wrong survey data."

ture development which was supported by over 5,00,000 trained engineers during 1989-97.

According to the big donors, work culture in India shows a general apathy towards timelines, quality, cost consciousness and innovative approaches. This leads to badly prepared contract documents and poor enforcement of agreements which in turn grounds utilisation of funds. For instance, while the outer limit of time extension for contracts in the UK is 25 per cent, 70 per cent of construction contracts in India exceed that limit.

of their ability to absorb the money," says Anderson. The states are handling a burgeoning portfolio of public-private partnerships (PPPs), currently close to a whopping Rs 2 lakh crore in infrastructure sector alone. The logic: all these projects under construction and in the pipeline will stimulate industrial growth, boost job creation and speed up economic recovery. But in effect the loans meant for such work just pile up, as in states like West Bengal where work in 15 of 41 approved schemes has not even been initiated.

The big-ticket donors also agree that poor monitoring and evaluation leave ample scope for slippage in aid utilisation. "Though India has a terrific monitoring system," according to Halady Satish Rao, director-general, Independent Evaluation Department of the ADB in Philippines, "it has not been converted to an effective evaluation system to monitor the outlays and outcome. There are few trained people for this task and the rest do not want to take responsibility for the outcome."

India needs to address the issues being faced by sectors not utilising available funds as aid is precious and comes with heavy commitment charges. The move by the ADB to provide \$14 million in technical assistance to help improve the quality and delivery time of projects in some of India's poorest states is a step in this direction but the country has to find its own answers. ■